



Q1 2026 SALES PERFORMANCE WHITEPAPER

US Select Territory | Enterprise AI & watsonx Ecosystem
Period Ending: March 31, 2026 | Prepared: March 23, 2026

Executive Summary

The IBM US Select Territory closed Q1 2026 with combined transactional + SaaS revenue of **\$37.29M** across **1,201** won opportunities, against a combined budget of **\$82.78M**. Transactional attainment reached 50.4% and SaaS signings attainment 36.4%, pointing to execution gaps that require focused remediation in Q2.

Pipeline health is a bright spot. Qualify+ coverage of \$264.10M (5.16x the transactional budget) across 3,472 qualified opportunities provides a strong foundation for Q2 conversion. Call Coverage of \$188.10M (3.68x) signals active seller engagement across the territory.

Win rate by opportunity count stands at 60.5%, informed by 10,394 won versus 6,774 lost deals. The significant disparity between average lost deal size (\$71,370) and average won deal size (\$14,089) indicates competitive vulnerability on larger enterprise engagements — a key risk to address through targeted strategies outlined in Section 5.

Q1 2026 At-a-Glance: Key Performance Indicators

Transactional Attainment \$25.79M 50.4% of \$51.2M budget	SaaS Signings Actuals \$11.50M 36.4% of \$31.6M budget	Qualify+ Pipeline \$264.10M 5.16x budget 3,472 opps	Win Rate 60.5% 10,394 won / 6,774 lost
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Call Coverage \$188.10M 3.68x budget 11,126 opps	Open Pipeline \$303.78M 4,308 opportunities	SaaS Signings Budget \$31.62M Q1 2026 Target	Won Pipeline Value \$146.45M 10,394 opportunities
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Revenue Performance Analysis

3.1 Transactional Revenue

Transactional revenue — comprising Subscription License Transactional, Perpetual Transactional, and Hardware — closed at \$25.79M across 405 won opportunities. Against a Q1 budget of \$51.16M, this represents 50.4% attainment, leaving a gap of \$25.37M versus plan.

Metric	Value	vs. Target
Q1 Transactional Budget	\$51.16M	—
Closed Revenue (Actual)	\$25.79M	50.4%
Gap to Budget	\$25.37M	Below plan
Won Opportunities	405	—
Average Deal Size	\$63,683	—

3.2 SaaS / XaaS Signings

New SaaS signings totaled \$11.50M across 796 won opportunities in Q1, against a SaaS signings budget of \$31.62M. Attainment of 36.4% leaves a gap of \$20.12M versus the signings target.

Average SaaS deal size of \$14,446 across 796 deals reflects a high-volume, lower-ACV pattern. Increasing average contract value through platform bundling and multi-year commitments is the primary SaaS growth lever entering Q2.

Metric	Value	vs. Target
SaaS Signings Budget	\$31.62M	—
SaaS Signings Actual	\$11.50M	36.4%
Gap to SaaS Budget	\$20.12M	Below plan
Won SaaS Opportunities	796	—
Average SaaS Deal Size	\$14,446	—

Pipeline Health & Coverage

Pipeline metrics serve as the primary forward-looking indicator of revenue trajectory. The table below summarizes US Select Territory pipeline as of Q1 2026 close.

Pipeline Stage	Value	Opp Count	Coverage (vs. Trans. Budget)
Open Pipeline	\$303.78M	4,308	5.94x
Qualify+ Pipeline	\$264.10M	3,472	5.16x
Call Coverage	\$188.10M	11,126	3.68x
Won	\$146.45M	10,394	2.86x
Lost	\$483.46M	6,774	—

4.1 Qualify+ Pipeline

Qualify+ pipeline of \$264.10M across 3,472 opportunities represents the highest-confidence near-term revenue signal. At a 5.16x coverage multiple against the transactional budget, the pipeline foundation is healthy. Applying a 25–35% conversion assumption yields a projected revenue range of \$66.02M to \$92.43M — sufficient to meaningfully close the Q1 gap if accelerated through Q2.

4.2 Call Coverage

Call Coverage of \$188.10M (3.68x) across 11,126 opportunities reflects strong seller activity and client engagement breadth. The high opportunity count in Call stage — approximately 3.2x the Qualify+ count by volume — indicates a large funnel of early-stage deals requiring disciplined qualification progression to convert into committed pipeline.

Win / Loss Analysis

Win rate by opportunity count for Q1 2026 stands at 60.5%, based on 10,394 won versus 6,774 lost opportunities. While deal volume is strong, the \$483.46M in lost pipeline value significantly exceeds the \$146.45M in won pipeline value — highlighting competitive vulnerability in higher-value enterprise engagements.

Metric	Won	Lost	Net / Commentary
Opportunity Count	10,394	6,774	3,620
Pipeline Value	\$146.45M	\$483.46M	\$-337.01M
Avg Deal Size	\$14,089	\$71,370	Lost avg 3.6x larger
Win Rate (Count)	60.5%	39.5%	—

The most critical insight from Win/Loss data: average lost deal size (\$71,370) is approximately 3.6x the average won deal size (\$14,089). This pattern indicates IBM wins on volume but loses on scale — a signature of competitive displacement on large enterprise AI platform, hybrid cloud, and multi-year technology transformation deals where hyperscaler alternatives or emerging point solutions are capturing budget ahead of IBM.

Strategic Recommendations for Q2 2026

6.1 Accelerate Qualify+ to Close Conversion

With \$264.10M in Qualify+ pipeline and only \$37.29M in combined closed Q1 revenue, accelerating conversion is the highest-priority action. Recommended actions:

- Weekly leadership-level deal reviews on all Qualify+ opportunities over \$500K.
- Identify the top 50 Qualify+ opportunities stalled for 60+ days and apply executive sponsorship to accelerate.
- Activate IBM co-sell motions with AWS, SAP, and Salesforce to compress complex deal cycles.
- Deploy deal-specific proof-of-concept accelerators for watsonx.ai and watsonx.data to reduce technical validation timelines.

6.2 Defend and Win Larger Enterprise Deals

The 3.6x lost-to-won deal size ratio demands a targeted competitive defense strategy for high-value engagements:

- Deploy updated watsonx vs. competing AI platform competitive battle cards across the US Select Territory.
- Engage IBM C-suite executive sponsors for all client opportunities exceeding \$1M in value.
- Lead all large-deal presentations with quantified ROI frameworks from IBM AI value realization case studies.
- Conduct win/loss debrief calls on all lost deals over \$250K to extract competitive intelligence and refine positioning.

6.3 Scale SaaS Average Contract Value

With 796 SaaS deals averaging \$14,446, the focus must shift from deal volume to deal value to close the SaaS signings gap:

- Bundle watsonx.ai, watsonx.data, and watsonx.governance into enterprise platform agreements rather than individual point product sales.
- Drive 2- and 3-year SaaS commitment structures to increase both ACV and TCV per engagement.
- Activate NPS-driven expansion selling motions within the existing SaaS customer base to drive upsell and cross-sell revenue.

6.4 Progress Call Coverage to Qualify+

The 11,126-opportunity Call Coverage base (\$188.10M) is an underutilized near-term pipeline resource:

- Apply rigorous BANT / MEDDIC qualification to the top 500 Call opportunities to accelerate Qualify+ pipeline entry.
- Run 2-week qualification enablement sprints for Account Executives managing high-volume Call Coverage portfolios.
- Set a Q2 target of progressing \$50M+ in Call Coverage value to Qualify+ stage by end of April.

Appendix: Full Data Reference

All data sourced from AskIBM / AskEPM — US Select Territory, Q1 2026 (January 1 – March 31, 2026).

Data Point	Raw Value	Source
Transactional Revenue Budget	\$51,158,851	AskEPM get_transaction_budget
Transactional Revenue Actual	\$25,791,514	AskEPM get_won_pipeline (Trans.)
Transactional Won Opportunities	405	AskEPM get_won_pipeline (Trans.)
SaaS Signings Budget	\$31,620,802	AskEPM get_new_saas_signings_budget
SaaS Signings Actual	\$11,498,872	AskEPM get_won_pipeline (SaaS)
SaaS Won Opportunities	796	AskEPM get_won_pipeline (SaaS)
Open Pipeline Value	\$303,781,092	AskEPM get_open_pipeline
Open Pipeline Opportunities	4308	AskEPM get_open_pipeline
Qualify+ Pipeline Value	\$264,097,846	AskEPM get_qualify_pipeline
Qualify+ Pipeline Opportunities	3472	AskEPM get_qualify_pipeline
Call Coverage Value	\$188,103,376	AskEPM get_call_pipeline
Call Coverage Opportunities	11126	AskEPM get_call_pipeline
Won Pipeline Value	\$146,445,110	AskEPM get_won_pipeline (all)
Won Pipeline Opportunities	10394	AskEPM get_won_pipeline (all)
Lost Pipeline Value	\$483,459,594	AskEPM get_lost_pipeline
Lost Pipeline Opportunities	6774	AskEPM get_lost_pipeline